

Unilever Strategy

Targeting Low-Income Consumers in Northeast Brazil

Group 7: Marketing Management AXP-25
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All the Power, Half the Effort

Market Landscape

The socioeconomic environment and household behaviors in Brazil's Northeast offer untapped potential but require a localized, empathetic approach

Regional Economic Difference

Brazil's Northeast, home to nearly 50 million people, represents a significant yet underserved segment.

- 1 Low-Income Majority:** Over 50% of NE residents live on less than 2 minimum wages, compared to 21% in the Southeast.
- 2 Cultural Identity:** The NE Afro-Brazilian culture is rooted in pride and cleanliness
- 3 Urban-Rural Divide:** Limited infrastructure and a predominantly rural economy constrain access to modern retail and products.



Competitive Dynamics & Distribution Challenges

As Unilever defends its leadership, it must evolve to outmaneuver global competitors and overcome physical and logistical barriers in the NE

Market Competition

Unilever's legacy strength is threatened by global rivals and rising regional brands with leaner operations.

- 1 **Brand Laddering:** Omo commands a premium; Minerva and Campeiro target middle and value segments—but gaps still remain.
- 2 **P&G Pressure:** P&G leverages global expertise to reposition former local brands and scaled quickly with Ace and Pop.
- 3 **Local Nimbleness:** Regional brands like Bem-te-vi capitalize on cost advantage, cultural proximity, and niche positioning.

Distribution & Market Access

Winning the Northeast market means navigating fragmented retail channels and reshaping go-to-market models.

Channel Complexity:

- 1 **Retail Fragmentation:** Small family-run shops dominate—few have refrigeration or credit systems, requiring tailored support.
- 2 **Partnership Advantage:** Specialized distributors foster stronger brand loyalty, shelf presence, and education at the point of sale.
- 3 **Last-Mile Costs:** Generalist wholesalers offer scale but come with higher costs and diluted focus, risking retail execution quality.

Consumer Insights

Understanding Brazil's low-income consumers

Brazil's Low-Income Consumer Profile

- Live on less than \$2/day
- Predominantly located in Northeast Brazil
- Represents a massive untapped market
- Makes frequent, low-volume purchases
- Relies on neighborhood stores (not supermarkets)
- More frequent washing: 5x/week vs. 3.9x in Southeast
- Low washing machines usage: 28% vs. 67%



Laundry Habits & Product Use

- Washing clothes done by hand, often outdoors
- Strong connections between cleanliness and social pride
- Homemakers and caregivers prefer products with:
 - Strong fragrance (Functional / Social / Emotional need)
 - Visible foam (Functional / Social / Emotional need)
 - Affordable price (Functional need)



Purchase Behaviors

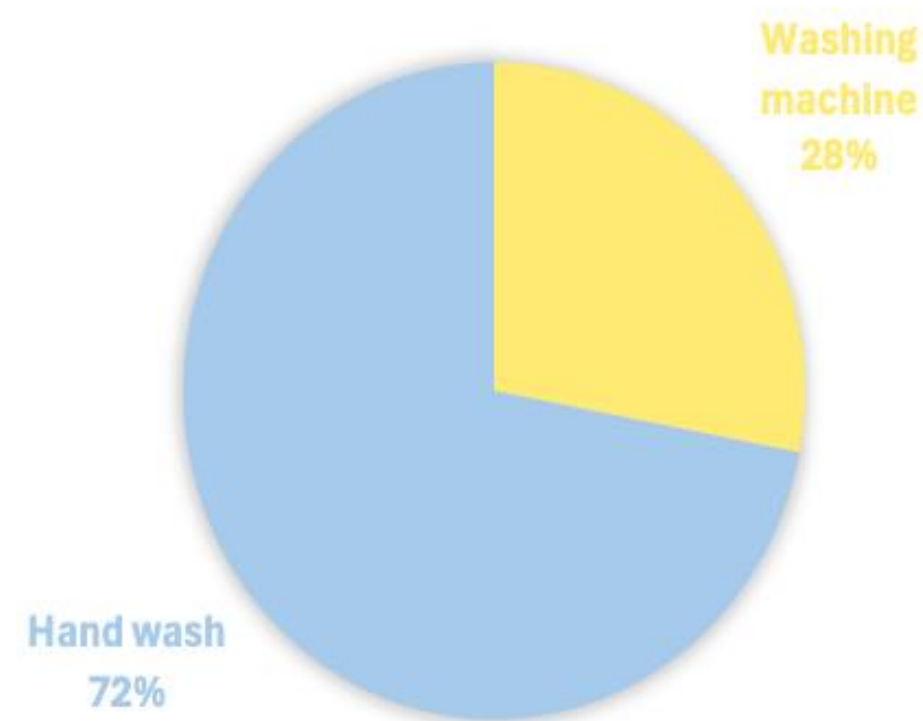
- Buy in small units due to limited cash flow
- Prefer recognizable, trusted brands
- Seek immediate value, not long-term savings
- Susceptible to word-of mouth and local advertising



Market Segmentation and Targeting

Introduce new product type/format to cater to current unmet needs in low-cost customer segment

CLOTHES WASHING IN NE BRAZIL



Current Product Usage

Laundry Soap

Used to remove tough stains with washing machines, used for all clothes without

Powder Detergent

Added after bleach is used to remove tough stains, primarily for fragrance

Liquid Detergent

Negligible use, presumably because associated with premium usage only



Target Customer

- Women in low-income segment who make purchases in small quantities
- Mothers, home-makers
- Do hand-washing in public as social activity
- View cleanliness as symbol of status and self-esteem

Unmet Needs

- Consumers don't trust the effectiveness of low-cost local brands, typically use more than one product
- Low-end brands lack fragrance
- Premium brands are too expensive and inaccessible

Recommendation and Value Proposition

Unilever should strategically allocate resources from premium brands to introduce SevenSpark, a purpose-built liquid detergent targeting low-income consumers in Northeast Brazil

Strategic Recommendation

Launching new brand: **SevenSpark**

Key Rationale:

- 1 Market Potential:** The Northeast's detergent market is growing at 17% annually, with 48 million consumers spending \$106M on detergent powder alone in 1996
- 2 Defensive Positioning:** Preempts P&G's Pop and local brands (e.g., Invicto) from dominating the low-income segment; besides, Campeiro already carries negative quality perceptions
- 3 New Strategy:** SevenSpark will be in liquid form (perceived as superior, premium product), have clear price signaling, customized distribution, and targeted CSR messaging, etc.



Value Proposition

*“For Northeast Brazil’s budget-conscious homemakers, **SevenSpark** delivers effective stain removal and freshness at 30% lower cost than competing products, using a patented concentrated formula that requires 50% less product per wash. **(all the power, half the effort)**”*

Key Differentiators:

- 1 Cost-Efficiency:** Concentrated formula reduces per-wash costs, critical for low-income households washing clothes 5x/week
- 2 Cultural Relevance:** liquid detergent designed for hand-washing in soft water, with foam-rich lather and a fresh scent aligned with regional preferences
- 3 Trusted Quality:** Leverages Unilever’s brand image to avoid perceptions of inferiority associated with local brands

Marketing Mix Recommendations

Market entry strategy with a regional distributor Go-to-Market model that appeals to local culture

Product

- 1 **Tailored for hand wash** — ideal for rural households without washing machines.
- 2 **Offered in small 30ML sachets** - to match low income individuals with unpredictable cash flow.
- 3 **Uses appealing, vibrant packaging with the Lucky No 7** that evokes trust and quality despite low cost.

Promotion

- 1 **Leverages below-the-line (BTL) tactics:** community demos, door-to-door sampling, and partnerships with local influencers.
- 2 **Emphasize local cultural cues** — clean clothes as pride, freshness as dignity.
- 3 **Avoid expensive media** - build brand through sampling and word-of-mouth.

Distribution

- 1 Focus on **specialized regional distributors** familiar with mom-and-pop shop networks.
- 2 Ensures **deeper retail penetration** and **small shelf presence** due to size in fragmented markets.
- 3 Builds **retailer loyalty** through training, branding materials, and margin incentives.



Brand Positioning

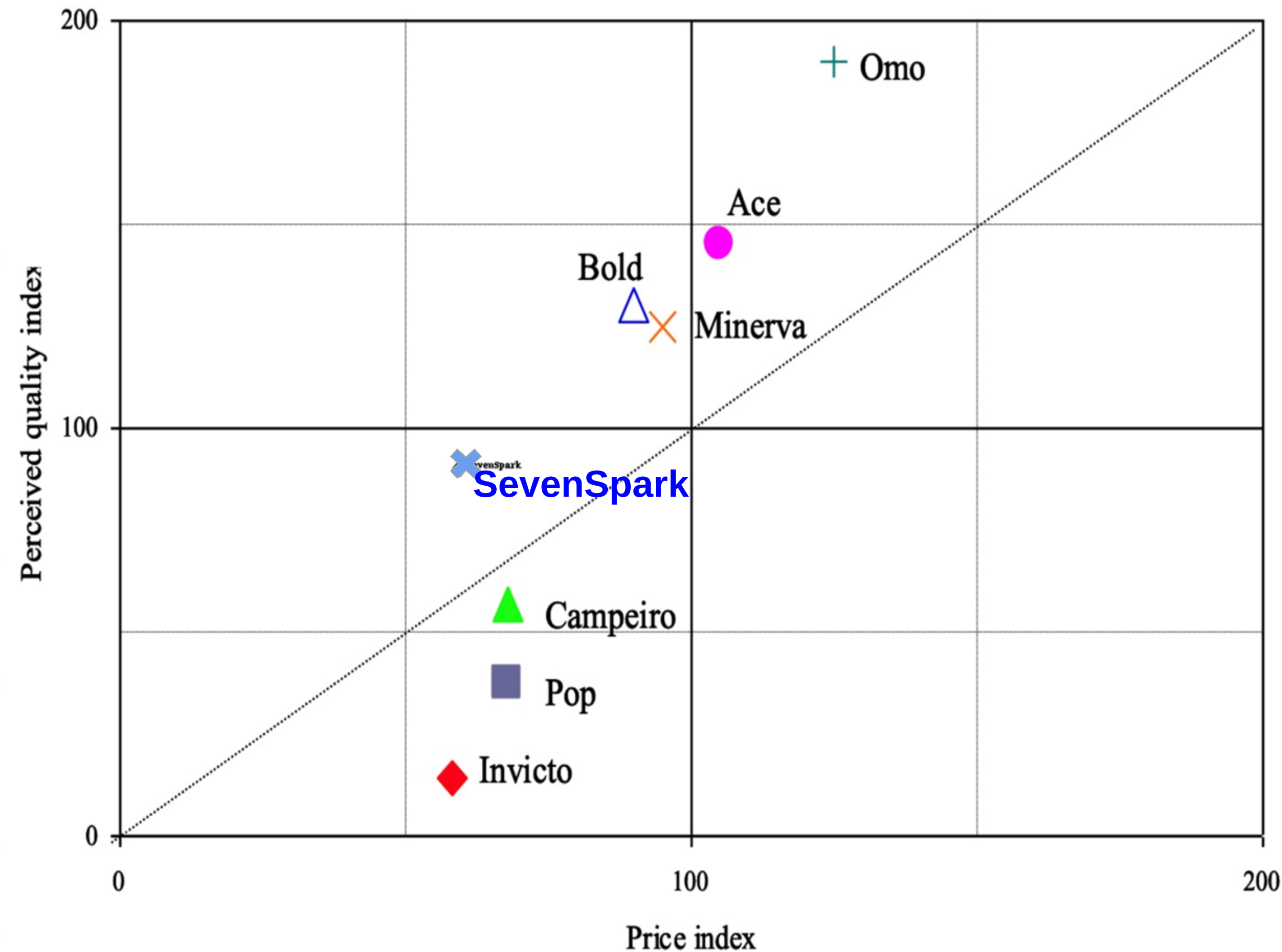
Create a new space in the detergent market and position SevenSpark as an in-between offering

Current Unilever Brands

- **Omo:** Premium, high quality, cost effective
- **Minerva:** Mid-tier, emotional appeal
- **Campeiro:** Cheaper option to compete with low-cost competitors

SevenSpark

- Undercuts Pop/Campeiro in price
- Superior in **foam, scent, and hand-wash experience**
- Keeps Omo & Minerva **safe from cannibalization**



Addressing Potential Launch Risks and Concerns

Mitigation plans and clear messaging that need to be implemented to ensure a successful and profitable launch

Cannibalization

- **Change people's washing process** - three steps to "all-in-one"
- **Compete with local or competitor brands** with affordable liquid detergent solution
- Use **targeted messaging and consumer education** to clarify the unique value proposition of SevenSpark

Profitability

- **High-volume over high-margin** in a growth market
- **Create value** through scale efficiency, localized supply chains, and affordable innovation.
- Over time, **brand equity and loyalty** can increase pricing power

Brand dilution

- **Prevent confusion** by establishing strong **visual and functional differentiation** for the new brand SevenSpark
- Clear brand identity and distinct positioning in all touchpoints - **All the Power, Half the Effort**
- A **house-of-brands approach** can preserve the integrity of the parent brand.

Execution Capability

- **Build on existing experience** in similar markets (e.g., India) to accelerate execution in Brazil
- **Adapt proven marketing, distribution, and operational models** while tailoring them to local cultural and regulatory nuances
- **Partner with local teams** for on-ground insight and credibility

Long-term Strategic Benefits

SevenSpark can be a strategic addition to Unilever's detergent portfolio to drive market dominance

Set

a new trend of detergent consumption. First mover to educate low-income customers on affordable liquid detergent to capture market share and build brand loyalty

Develop

'base of pyramid' marketing capabilities and establish market dominance across different customer segments

Build

a strong network of small retailers which can benefit other Unilever product distribution

Apply

insights cross-category and cross region (e.g. SEA, Africa)

Defend

against P&G's potential entry

Q & A